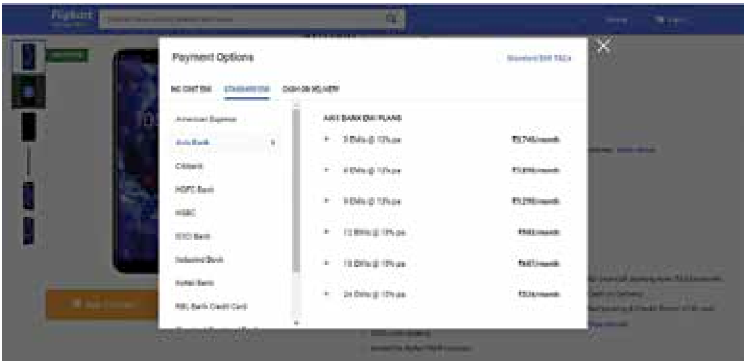

Screenshot of EMI selection window, Flipkart.com

interest in the long term. Lenders charge prepayment fines when borrowers try to foreclose their loans. Part payment is also frowned upon most of the time.

- **Make Savings**

Consider a customer with extra cash lying around. Instead of making a full purchase of a high-cost device, he could open a savings account at a bank that provides good interest on deposits and makes monthly payments from there. This way he makes a saving by earning interest on the amount deposited and all the while he has the cash stashed away in case of emergencies.

- **Extra Costs Paid**

Most probably, any savings made would be covered up as interest and maybe some more. EMI is a combination of the interest component and principal component where the interest is paid extra over the principal. For long-term EMI schemes, a borrower might end up paying a significant amount as interest.

- **Helps Improve CIBIL scores**

CIBIL scores, or credit score, is a comprehensive three-digit number that indicates the creditworthiness of an individual. It takes into account previous credit history to generate the scores. Some lenders insist on having a credit score above 750 to consider them worthy of a loan. Taking an EMI scheme and making sure they are paid off without any hiccups improves your CIBIL ranking significantly.